

CHAPTER THREE

THE PLANNING FUNCTION

The Meaning of Planning

- **Planning** - is the dynamic process of making decisions today about future actions; and it is a selection or choice among alternatives as to: What missions or objectives be achieved, what actions should be taken, what organizational positions be assigned, How the end can be achieved, when to achieve it, who is to do it, where to do it. It bridges the gap between where we are now and where we want to be.

- **Planning** - is preparing today for tomorrow; it is the activity that allows managers to determine what they want and how to get it: They set goals and decide how to reach them. Planning focuses on the future: what is to be accomplished and how.

Answers six basic questions in regard to any intended activity:

- What (the goal or goals).
- When (the time frame in which it will be accomplished)
- Where (the place or places where the plans or planning will reach its conclusion).
- Who (which people will perform the tasks).
- How (the specific steps or methods to reach the goals).
- What resources (resources necessary to reach the goals).

- Planning is a process of deciding what to do and how to do it before action is required.

Planning involves selecting missions and objectives and the actions to achieve to them; it requires decision-making that is, choosing from among alternative future courses of actions. Managers who develop plans but do not commit themselves to action are simply wasting time. The outcome of the planning function is a plan, a written document that specifies the courses of action a firm will take.

Nature of Planning

1. The contribution of planning to purpose and objectives

Every organization is established (exists) for the accomplishment of group purpose or objective. So, the purpose of any plan and its derivatives or supporting plans is to facilitate the accomplishment of organizational objectives.

2. The primacy of planning

All the five managerial functions - planning, organizing, staffing, directing and controlling- are designed to support the accomplishment of organizational objectives. However, planning precedes the execution of all other managerial functions, because all other managerial functions must be planned if they are to be effective. This does not mean that planning is the most important of all other managerial functions, because to be important or useful all other functions have to accompany it.

Although in practice all the functions mesh as a system of action, planning is unique in that it involves establishing the objectives necessary for all group

effort. The entire gist of initiating, exercising, and activating the managerial functions of organizing, staffing, directing and controlling is to bring the objectives formulated during planning into fruition. In fact, the concept of especially control would be unthinkable without planning because any attempt to control without plans is meaningless, since there is no way for people to tell whether they are going where they want to go (the result of the task of control) unless they first know where they want to go (part of task of planning). Plans thus furnish the standards of control. Since planning and controlling are so much inseparable, they are treated as the Siamese twins of management.

3. The pervasiveness /Universality of planning

Planning is a function of all managers, although the character and breadth of planning varies with each manager's authority and with the nature of policies and plans outlined by superiors. That is, all managers-from presidents to first-level supervisors plan. Even for personal life we plan. "It is difficult to call a person a manager if he or she doesn't plan "Koontz

4. Planning and information

No plan exists without information. To plan managers have to gather relevant information from around the environment. Information is one of the valuable resources for planning to exist.

5. Planning is a continuous process

Planning deals with the future and the future is full of uncertainties. Hence, planning is subject to revision. It needs frequent revision in response to changes in the internal and external environments of the organization. Therefore, so far as, the organization is in operation, planning is in

continuous process. The more continuous the planning is, the higher its efficiency is.

6. Planning is a means to an end

Planning is not an end by itself. It is a means to an end (meeting objectives).

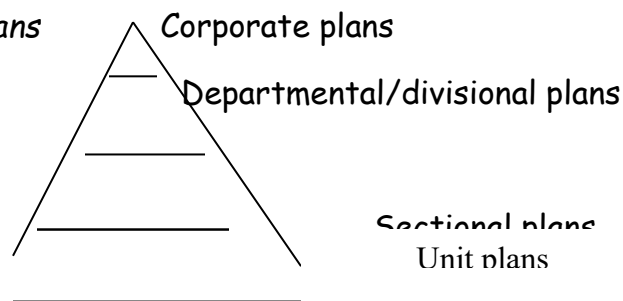
Planning is an instrument that pushes people towards the achievement of objectives.

7. Plans are arranged in a hierarchy

Plans are first set for the entire organization. The corporate plan then provides the framework for the formulation of divisional, departmental, and sectional goals. Each of these organizational components sets its plans, programs, projects, budgets, resource requirements, etc.

As shown in the figure below, unit plans are summed up to form sectional plans and these in turn form departmental plans. Finally, the different divisional plans when summarized at corporate level, form corporate plan.

Fig. Hierarchy of plans



The Importance of Planning

1. It provides direction and sense of purpose

It is through planning that we can establish our objectives. Plans focus attention on specific targets and direct employees effort toward important outcomes. Once organizations know what they can do and can't do over the

future, they began to set objectives based on their capacity and the order of activities needed to accomplish their objectives. It provides direction and a common sense of purpose. This shared purpose enables both employees and managers to coordinate, unite, and guide their actions.

2. It reduces uncertainties and anticipates the future/ preparing for change

Planning is based on systematic and careful forecasts of future states of the economy, markets, technology, etc to reduce uncertainties to the extent they occur according to expectation. Thus, it is while planning that the manager should consider the potential areas for changes in the future; rather than merely reacting to it. Managers should cope with changes in their own organizations and functions in their environment through planning. Anticipating and preparing for possible future changes enables managers to control their environment. In so doing, planning **answers "what-if" questions**. In planning, managers develop several "what if" questions in order to reduce the risk of unpredictable future, so far as we plan for the future. By asking what if questions managers develop alternatives.

3. It provides basis for controlling

Standards /controlling mechanisms/ are developed during planning. It specifies what is to be accomplished and provides a standard for measuring progress.

4. It forces managers to see the organization as a system

While planning managers have to consider parts because the plan of one part (department) affects the operation of the whole organization so far as parts of an organization are interdependent.

5. It promotes efficiency

Planning provides the opportunity for a greater utilization of the available organizational resources - because in planning we determine how many resources are necessary to reach the goals, and how to use these resources.

6. It provides the base for cooperative and coordinated efforts

Management exists because the work of individuals and groups in organizations must be coordinated, and planning is one important technique for achieving coordinated effort. Planning provides the basis for organized and coordinated effort by defining the objectives of the organization and the means for their achievement.

7. Developing managers

The act of planning involves high level of intellectual activity. Those who plan must be able to deal with abstract and uncertain ideas and information.

Planners must think systematically about the present and the future.

Through planning, the future state of the organization can be improved if its managers take an active role in moving the organization toward that future.

Planning then implies that managers should be proactive and make things happen rather than reactive and let things happen. Through act of planning, managers not only develop their ability to think futuristically but, to the extent that their plans are effective, their motivation to plan is reinforced. Also, the act of planning sharpens manager's ability to think as they consider abstract ideas and possibilities for the future. Thus, both the result and the act of planning benefit both the organization and its managers.

8. It provides guideline for decision making

Decisions in an organization will be made in alignment with the plans and in accordance with desired outcomes. Managers make decisions on problems of recurring nature based on strategies and policies of the organization.

Through specifying the actions necessary to accomplish the goals of the organization, planning serves as a framework for decision-making. It forces managers to make analytical thinking and evaluate alternatives through improved decisions.

Types of Plans

Plans can be classified on different bases or dimensions. These are:

- Scope/breadth dimension,
- Time dimension, and
- Use/repetitiveness

i. Scope/Breadth Dimension

Scope refers to the comprehensiveness of the plan, or it refers to the level of management where plans are formulated. This dimension creates hierarchy of plans. Based on scope/breadth we can classify plans into: Strategic, Tactical and Operational.

Strategic Plan: is organization wide plan that is formulated or developed by top-level management in consultation with the board of directors and middle level management. It applies to the entire organization.

- Looks ahead over the next two, three, five or more years.
- Develops the direction for the entire organization.
- Is primarily concerned with solving long-term problems associated with external environmental influences.
- Establishes overall objectives and positions for an organization in terms of its environment.

The following are distinguishing characteristics of strategic plan.

1. It requires looking outside the organization for threats and opportunities.

2. It requires looking inside the organization for strengths and weaknesses
3. It takes a longer view, i.e. it covers a relatively long time horizon ≥ 5 years.
4. It tends to be top management responsibility, but it reflects a mentality useful at all levels.
5. It is expressed in relatively general non-specific terms.

Strategic plans address such questions as:

- What business are we in?
- What business should we be in?
- Where will we be in ten years if we continue doing what we are now doing?

The difference between firms would like to be (where we want to be) and where it will be if it does nothing is called the **Planning gap**. Strategic planning is primarily concerned with closing that gap.

- The success or failure of an organization depends up on the success or failure of strategic plans. It makes premises for tactical plans.

Tactical Plan: refers to the implementation of activities and the allocation of resources necessary for the achievement of the organization's objectives.

- is an intermediate plan that helps to reduce long range planning into intermediate one by increasing the amount of specificity and making the actions goal oriented. Tactical plans are specific and more goal oriented than strategic plans. Middle level management in consultation with lower level management develops them.
- Tactical plans are the means charted to support the implementation of the strategic plans and achievement of tactical goals.

They are concerned with shorter time frames and cover a narrower scope (narrower range of activities).

- Structures a firm's resources to achieve maximum performance.
- Concerned with what the lower level units within each division must do, how they must do it, and who will have the responsibilities for doing it.
- Tactical plans make premises for operational plans.
- is narrower in scope than strategic plan and wider than operation plan; but more detailed than strategic plan and less detailed than operational plan

E.g. what is the best pricing policy?

Which city or town is suitable for marketing our products?

Operational Plan: is concerned with the day-to-day activities of the organization and is made at the lower level management in consultation with middle level management. Operational plans spell out specifically what must be accomplished to achieve specific/operational goals. It is concerned with the efficient, day-to-day use of resources allocated to a department manager's area of responsibility.

- Operational plans have relatively short time frame (< 1 yr). It is the most detailed (more specific) and narrowest plan compared to the above two; because it is to be implemented day-to-day.

E.g. -What production technique is best?

- What materials are needed for operation?
- Unless operational goals are achieved in organizations, tactical and strategic plans will not be successful and goals at those levels will not be achieved.

ii. Time Dimension

Time dimension refers to the periods for which the planning is intended.

Based on the length of time a plan covers, we do have three types of plans:

Long-range (five years or more), medium-range (between one and five years) and short-range plans (one year or less).

- Time dimension and scope dimension are the same except the former is about the length of time that the plan covers and the latter about the level of management where the plan is formulated.

{ All strategic plans are long-range plans.
All tactical plans are medium-range plans.
All operational plans are short-range plans.

iii. Use Dimension

Use dimension refers to the extent to which plans will be used on a recurring basis, i.e. based on how repeatedly/frequently a given plan is used. Based on this dimension we do have two types of plans: standing plans and single use plans.

Standing Plans: are plans that provide an ongoing guidance for performing recurring activities.

- They are plans, which are formulated to be used again and again for the day-to-day operation of the organization. That is, repetitive situations or actions require the development of such plans. They become necessary when the same kinds of actions are to be taken repeatedly. Standing plans become valuable under relatively stable situations.

Once established, standing plans allow managers to conserve time used for planning and decision-making because similar situations are handled in a predetermined, consistent manner.

E.g. A bank can more easily approve or reject loan requests if criteria are established in advance to evaluate credit ratings, collateral assets, and related applicant information.

The major types of standing plans are policies, rules, and procedures.

a. Policies: is a general guide that specifies the broad parameters within which organization members are expected to operate in pursuit of organizational goals.

b. Rules: spell out specific required action or non-actions, i.e., actions that must be or must not be taken, allowing no discretion, in a given situation.

E.g. No smoking, cheating is prohibited.

- ♦ A rule is an ongoing, specific plan for controlling human behavior and conduct at work.

c. Procedures: are statements that detail the exact manner in which certain activities must be accomplished.

Single use plans: are plans aimed at achieving a specific goal that, once reached, will most likely not recur in the future and dissolved when these have been accomplished.

- Are designed to accomplish a specific objective usually in a relatively shorter period of time and it is non repetitive.
- They are detailed courses of action that probably will not be repeated in the same form in the future.

The major types of single use plans are programs, projects, and budgets.

E.g. A firm planning to build a new warehouse-location, construction costs, labor availability, zoning restrictions.

- a. **Programs:** is a comprehensive plan that coordinates a complex set of activities related to a major non-recurring goal.
- b. **Projects:** is a plan that coordinates a set of limited scope activities that do not need to be divided into several major projects in order to reach a major non-recurring goal.

- Projects are the smaller and separate portions of programs.

- c. **Budgets:** are statements of expected results expressed in numerical terms.

- Are statements of financial resources set aside for specific activities in a given period of time.

Characteristics of a Good Plan

Every sound business plan must have these characteristics:

❖ **Objectivity**

Planning should, first all, be based on objective thinking. It should be factual, logical and realistic. It should be directed to achieving organizational goals rather than personal objectives.

❖ **Futurity**

Since a plan is a forecast of some future action, it must have the quality of futurity; otherwise, it has little value as a basis for future action. If a plan is to be effective, it must foresee with reasonable accuracy the nature of future events affecting the industry and the firm. The inability to foresee future events, a human limitation that we cannot overcome, is the weak link in planning process.

❖ **Flexibility**

Because no one can foresee the future, plans must have flexibility. They must adjust smoothly and quickly to changing conditions without seriously losing their effectiveness. The more difficult it is to predict the future, the more flexible the plans must be.

❖ **Stability**

Stability is related to flexibility. A stable plan will not have to be abandoned because of long-term changes in the company's situation. It may be affected by long-range developments, but it should not be changed materially from day to day.

❖ **Comprehensive**

A plan must be comprehensive enough to provide adequate guidance, but not so detailed as to be unduly restrictive. It should cover everything required of people, but not in such detail that it inhibits initiative.

❖ **Simplicity and clarity**

Although a good plan must be comprehensive, it should also be simple. A simple plan seeks to attain its objective with the fewest components, forces, effects and relationships. A plan should not be ambiguous. Lack of clarity makes understanding and implementation difficult.

❖ **Contingency planning** is the development of alternative plans for use in the event that environmental conditions evolve differently than anticipated, rendering original plans unwise or unfeasible.

❖ **Planning staff-** is a small group of individuals who assist top-level managers in developing the various components of the planning process.

CHAPTER FOUR

3. DECISION-MAKING

3.1. MEANING OF DECISION-MAKING

A decision is the selection of a course of action from among a set of alternatives. Decisions usually imply alternatives. A decision problem demands two or more alternatives. Decisions are also made to achieve goals. In general, decision-making may be viewed as the process by which individuals select a course of action from among alternatives to produce a designed result.

1.2. TYPES OF DECISION MAKING

- i. Programmed decisions are routine and repetitive in nature. The procedure of taking these decisions become standardized, hence the managers need not think a lot before taking these decisions.
- ii. Non-programmed decisions are like basic decisions and are innovative in nature. This type of decision requires good judgment, intuition and creativity.

3.3. THE DECISION-MAKING ENVIRONMENT (CONDITION)

Decision-making does not take place in a vacuum. There are various conditions that affect the decision-making process and the decision maker as well. Consequently, decisions are made under the conditions of **certainty**, **risk**, **uncertainty** and **conflict** or **competition**.

i. Decision-making under certainty

Decision-making under certainty implies that all the information required to arrive at a final decision is known with complete certainty. Thus, the decision-making under certainty model assumes that manager taking decision has full knowledge of the certainty of the information, its non-ambiguity and

stability. This means that, a manager making **decision under certainty** relies **on a standing plan or policy**, and in such a condition decision are made routinely.

ii. Decision-making under risk

In the condition of risk, a decision maker (manager) **knows what the problem is** and is **aware of all possible outcomes and their probability** of occurrences. He knows what the alternatives are. But **does not know how each alternative will work**. Thus, the manager is faced with the dilemma of choosing the best alternative available.

iii. Decision-making under uncertainty

This is the most difficult decision-making condition for the manager. Hence, a manager cannot develop probability estimates for various alternatives. Thus, in the situation of uncertainty the manager is not able to determine the exact odds (probabilities) of the potential alternatives available.

iv. Decision-making under conflict or competition (game theory)

In this decision condition, there is a clash of interest of competitive firms and every decision maker carefully considers the actions of his opponents and takes a decision that minimizes loss or maximizes the gain.

4.5. MANAGEMENT BY OBJECTIVES

Management by objectives (MBO) is a system of managing in which managers' work together with subordinates to establish objectives and design plans to achieve them. It is a process by which managers and subordinates work together in identifying goals, setting objectives, and designing plans.

- i. **Central Goal Setting:** Under this stage the top management sets different goals for the entire organization with the help of other managers positioned at different levels. Once the organizational goals

are established, they should be made known to all the concerned members of the organization and be clearly understood by them.

ii. **Preparation of Departmental, Divisional and Individual Goals:**

The step that follows after the development of the organizational goals is preparing goals for the different departments, divisions and individuals as well. These goals are usually prepared by a joint effort of the subordinates and the concerned managers. The main concept here is that, everybody gets involved in the goal setting activities and develops a sense of responsibility to work towards the achievement of the jointly set objectives.

iii. **Matching Goals and Resources:** The objectives are not end by themselves unless we make available the required resources and the means to achieve them. Consequently, the concerned manager is responsible to make sure that all the subordinates are provided with the necessary tools and materials to achieve the intended goals effectively.

iv. **Review and Appraisal of Performance:** The manger is required to conduct periodic review to monitor performance and check the progress made towards the achievement of the goals. By doing so, he will be able to recognize any unanticipated problem encountered while performing the actual task. Moreover, such a practice can improve the moral of the subordinates.

Advantages of MBO

MBO has the following major advantages:

- i. Sets clear goals
- ii. Motivates (encourages) employees
- iii. Develops managerial skill.

- iv. Improves communication between management and subordinates
- v. Reduces conflict.
- vi. Facilitates control.